

Monday August 3, 2026

11:00 a.m. – General Discussion

Commissioners Ron Smith, Chair; Colene Martin, Vice-Chair; Gary Richardson; Nikole Guzman, Recorder

Additional Attendees: Tim Freeman, President, Association of O&C Counties; Doug Robertson, Executive Director, Association of O&C Counties; Wally Hicks, Legal Counsel, participating remotely

Chair Ron Smith called the meeting to order at 11:00 a.m.

1. Declaration of Potential Conflicts of Interest

Commissioners Richardson, Martin, and Smith each declared no potential conflicts of interest.

2. Association of O&C Counties Presentation

Tim Freeman, President of the Association of O&C Counties, and Doug Robertson, Executive Director, presented information regarding the history and purpose of the Association, current federal land-management and revenue issues, the value of the Association's advocacy to Josephine County, and the County's potential return to membership.

Mr. Robertson explained that the Association of O&C Counties was formed in Grants Pass in 1925 so the counties containing Oregon and California Railroad revested lands could speak with one voice before Congress and the federal land-management agencies. The approximately 2.5 million acres of O&C lands had been conveyed to a railroad company to support construction of the rail line and were later returned to federal ownership after the railroad failed to comply with the conditions of the grant. Because the revested lands could not be taxed or developed like private property, the counties organized to seek economic benefit from the lands and to participate in decisions affecting their management.

Mr. Freeman stated that the checkerboard pattern of public and private ownership was never intended to create a conventional national forest. The O&C lands were established as timber-producing lands and are governed by the O&C Act of 1937, which directs that the lands be managed under sustained-yield principles while supporting stable communities, recreation, watersheds, and other public values.

The presenters explained that the 1937 O&C Act initially provided the counties with 50 percent of timber receipts while the federal Treasury recovered the cost of reacquiring the lands. That obligation was satisfied in 1952, and the counties received the full 75-percent share in 1953. Beginning in 1953, the counties voluntarily reinvested the additional 25 percent in a plowback fund used for roads, bridges, reforestation, recreation facilities, fire suppression, culverts, and other management of the O&C lands. Mr. Freeman estimated that the counties' historical investment through the plowback program would equal approximately \$2 billion in current dollars.

During the early 1980s, Congress began including language in the Department of the Interior appropriations bill directing that the counties' additional 25-percent share be used first to support the Bureau of Land Management's O&C program. Mr. Freeman reported that the Association began working in approximately 2018 to remove that appropriations language. The current Interior appropriations measure no longer contains the provision, allowing the counties to return to the 75-percent distribution established under the O&C Act.

The presenters discussed the County's recent election under the Secure Rural Schools and Community Self-Determination Act. Counties had previously expected to make separate elections for Forest Service and O&C lands. The federal government later interpreted the reauthorization as requiring a single election covering both land categories, which created uncertainty for O&C counties whose timber receipts could exceed their SRS allocation.

Mr. Freeman stated that the Association continued working with the Oregon congressional delegation and the Department of the Interior through the election deadline. The Department ultimately determined that a county would receive the payment associated with its SRS election and, separately, its proportional share of 25 percent of current O&C receipts. Josephine County had elected SRS and, based upon the information presented, was expected to receive its SRS allocation together with an additional estimated O&C distribution of approximately \$1.8 million. The presenters stated that Josephine County receives approximately 12.08 percent of the total O&C county distribution.

The estimates were based upon approximately \$60 million in anticipated O&C timber receipts for the current federal fiscal year. The BLM generated approximately \$65 million in receipts during the prior year. Mr. Freeman emphasized that the figures remained estimates because timber harvest, market conditions, wildfire, litigation, and the timing of federal payments could affect the final amount.

The presenters stated that, before the separate 25-percent distribution was confirmed, an election to receive timber receipts was projected to provide Josephine County approximately \$5.6 million, compared with approximately \$4.3 million through SRS. They explained that member counties received detailed election estimates and frequent updates as federal interpretations changed. Because Josephine County was not a member, the County did not receive the same internal analyses before its election was submitted.

Mr. Freeman stated that the Association's adopted position is to remove O&C lands from future SRS reauthorizations and reconnect the counties directly to the 75-percent timber-receipt formula. He explained that O&C receipts are generally available as General Fund revenue, while portions of Forest Service SRS funding are restricted to specified purposes. The current SRS authorization was expected to expire at the end of the federal fiscal year unless Congress enacted another extension.

The presenters described four principal areas of Association activity: legislation, coordination with federal land-management agencies, public education and outreach, and litigation. The Association monitors and advocates on federal legislation and appropriations affecting O&C

lands; participates in BLM planning and management processes; educates public officials and the public regarding the history and economic significance of the lands; and participates in litigation involving resource-management plans and individual timber projects.

The Association works with federal elected officials, the Department of the Interior, national and Oregon BLM leadership, and other agencies. Mr. Freeman stated that the unified representation of the O&C counties allows the Association to obtain meetings and responses that an individual rural county would have difficulty obtaining on its own. The Association also partners with the American Forest Resource Council in litigation and has intervened in cases to support timber sales and defend the counties' statutory interests.

The Association's budget includes federal lobbying, legal counsel, technical resource expertise, accounting, and staff support. The presenters identified a federal lobbying contract of approximately \$240,000 annually and a legal retainer of approximately \$5,000 per month, with additional costs for significant cases. The full membership adopts the annual budget, an accounting firm handles financial transactions, and policy direction is provided by a board composed of one commissioner from each member county.

Mr. Freeman discussed the current BLM resource-management plan and stated that approximately 80 percent of the O&C land base is placed in reserves, with critical-habitat designations limiting management on a substantial portion of the remaining acreage. He estimated that approximately 11 percent of the land base is presently available for active timber management.

The Association requested a full revision, rather than a limited amendment, of the resource-management plan. It is participating as a cooperating entity in the current revision process. The existing plan identifies an annual sustained-yield level of approximately 205 million board feet, which the BLM has not achieved. The direction published for the revision discusses returning toward historical harvest levels approaching one billion board feet annually. The presenters stated that the O&C lands grow approximately 1.2 billion board feet each year and could support a substantially larger and sustainable harvest.

The Board discussed available milling capacity. Although Josephine County no longer has a sawmill, the presenters reported that substantial processing capacity remains in Douglas and Lane Counties and described recent private investments in modern mills. They stated that additional federal timber availability could support existing mills and encourage continued investment, although markets, transportation costs, and the three-year federal timber-sale cycle affect when timber is harvested and when receipts are received.

The presentation addressed the effects of overstocked stands, delayed thinning, and the failure to salvage and replant severely burned federal timberlands. Mr. Freeman stated that private and public examples demonstrate that burned areas can be safely salvaged and reforested, while untreated fire areas may retain hazardous dead trees, reburn, impede firefighting, and remain unproductive for decades. The discussion also addressed wildlife mortality during

severe fires and the importance of reducing fuels and restoring actively managed forest conditions.

Mr. Freeman and Mr. Robertson requested that Josephine County consider rejoining the Association. Annual dues were estimated at approximately \$68,000 and are calculated in proportion to each county's share of O&C receipts. No back dues would be required. The Association offered to discuss prorating or phasing the dues because the County's fiscal year had already begun.

Membership would allow the Board to designate one Commissioner to serve on the Association's board, participate in policy direction, receive current financial and legal analyses, and report Association activities back to the full Board. The next Association board meeting was expected to be held in September in Polk County, with the annual meeting anticipated in December.

Commissioners requested additional information before making a membership decision, including the Association's budget, legal and lobbying expenditures, and written responses to questions provided during the meeting. The Board discussed possible prorated participation, the anticipated additional O&C revenue, and the appropriate County budget process. The Commissioners expressed appreciation for the presentation and the Association's advocacy but did not make a formal membership or expenditure decision.

3. Other

None heard.

4. Additional Subject Matters from Commissioners/Announcements

None heard.

The meeting adjourned at 12:35 p.m.